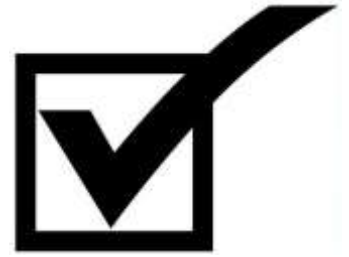




**BUSINESS
PROFESSIONALS
of AMERICA**
Giving Purpose to Potential



BANKING & FINANCE

(145)

NATIONAL 2023

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Short Answer (10 @ 3 points each) _____ (30 points)

Job 1: Loan Repayment Schedule _____ (39 points)

Job 2: Bankruptcy Claims (8 @ 3 points each) _____ (24 points)

TOTAL POINTS _____ ***(143 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You will have 60 minutes to complete your work.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

MULTIPLE CHOICE. (2 points each = 50 pts)

- | | |
|-------|-------|
| 1. D | 16. C |
| 2. A | 17. A |
| 3. C | 18. D |
| 4. D | 19. B |
| 5. B | 20. C |
| 6. C | 21. C |
| 7. D | 22. B |
| 8. A | 23. C |
| 9. A | 24. A |
| 10. C | 25. B |
| 11. D | |
| 12. D | |
| 13. A | |
| 14. B | |
| 15. C | |

Short Answer (10 @ 3 points=30 points)

1. APR: **367.3%** or 371.4% (Count either as correct)
2. Reduction of principal: **20.00**
3. Year 1: a. **687.50** Year 2: b. **725.31** Year 3: c. **765.20** Balance: d. **14,678.01**
4. Year 1: a. **9,200.00** Year 2: b. **8,464.00** Year 3: c. **7,786.88** Balance: d. 25,450.88

JOB 1 Loan Repayment Schedule – 1 point for each shaded answer. Please allow answers that are a cent off to be counted as correct. Rounding at different steps causes this.

Complete the schedule for a 1-year installment loan at an 18% APR. The monthly payments are \$45.84

Loan Repayment Schedule				
Month	Monthly Payment	Interest Payment	Applied to Principal	Balance
1	\$45.84	\$7.50	\$38.34	\$461.66
2	\$45.84	6.92	38.92	422.74
3	\$45.84	6.34	39.50	383.25
4	\$45.84	5.75	40.09	343.15
5	\$45.84	5.15	40.69	302.46
6	\$45.84	4.54	41.30	261.16
7	\$45.84	3.92	41.92	219.24
8	\$45.84	3.29	42.55	176.68
9	\$45.84	2.65	43.19	133.50
10	\$45.84	2.00	43.84	89.66
11	\$45.84	1.34	44.50	45.16
12	\$45.84	.68	45.16	0.
Totals	\$550.08	50.08	500.00	

JOB 2 Creditor Claims – 3 points for each shaded answer; 24 total points

A business has gone bankrupt. The money that is left after secured creditors have been paid is paid to all other creditors in proportion to their claims. In the first table, calculate what percent of the unsecured creditors' claims can be paid. In the second table, calculate how many cents on the dollar can be paid to the unsecured creditors.

	Total Creditor Claims	Cash Available for Creditors	Percentage Claims Paid
1	\$68,000	\$27,200	40.0%
2	37,200	11,160	30.0%
3	146,700	51,345	35.0%
4	288,000	187,200	65.0%

	Total Creditor Claims	Cash Available for Creditors	Cents on the Dollar Paid
5	\$83,600	\$53,504	\$ 0.64
6	71,760	25,116	\$ 0.35
7	196,000	82,320	\$ 0.42
8	54,000	8,688	\$ 0.16